the county office. The county committee or county office manager shall notify the ginners and buyers in the county, or in the immediate vicinity, that the marketing card or certificate has been canceled.

IDENTIFICATION OF COTTON

§ 722.1261 *Time and manner of identification.* Each producer of extra long staple cotton shall, at the time he markets any such cotton, identify such cotton to the buyer or transferee, in the manner hereinafter provided, as being subject to or not subject to the penalty provided in § 722.1266 and the lien for the penalty as provided in § 722.1267.

§ 722.1262 *Identification by marketing card.* A marketing card (Form MQ–76–ELS Cotton (1955)), shall, when presented to the buyer or transferee by the producer to whom issued, be evidence to the buyer or transferee that the extra long staple cotton produced on the farm for which the marketing card was issued may be purchased by him without collection, deduction, or payment of the penalty, and that such cotton is not subject to the lien for the penalty.

§ 722.1263 *Identification by marketing certificate.* A marketing certificate (Form MQ–91—Cotton (ELS)) shall, when presented to the buyer or transferee by the producer to whom it was issued, be evidence to the buyer or transferee that the extra long staple cotton described on such certificate may be purchased by him without the collection, deduction, or payment of the penalty, and that such cotton is not subject to the lien for the penalty.

§ 722.1264 *Identification by loan document.* A loan document (the original or the producer's copy) shall, when presented to the buyer or transferee by the producer in whose favor it is drawn, be evidence to the buyer or transferee that the carry-over extra long staple cotton described in such loan document may be purchased by him without the collection, deduction, or payment of the penalty, and that such cotton is not subject to the lien for the penalty. Any one of the following forms shall constitute a "loan document" for purposes of the foregoing provisions of this paragraph: Cotton Producer's Note and Loan Agreement (CCC Cotton Form A); Producer's Loan Statement—A; or Producer's Warranty and Agreement (CCC Cotton Form G–2).

§ 722.1265 *Extra long staple cotton not identified by a marketing card, marketing certificate, or loan document.* All extra long staple cotton marketed by a producer which is not identified by a marketing card, marketing certificate, or loan document, as provided in § 722.1262, 722.1263, or 722.1264, shall be taken by the buyer or transferee thereof as extra long staple cotton subject to the penalty prescribed in § 722.1266 and to the lien for the penalty. The buyer or transferee of such unidentified extra long staple cotton shall collect the penalty from the producer or deduct it from the purchase price of such cotton. The buyer or transferee shall report the purchase of all such unidentified extra long staple cotton on Form MQ–82—Cotton (ELS) and remit the penalty collected or deducted to the treasurer of the county committee.

PENALTY

§ 722.1266 *Rate of penalty.* The rate of the penalty for extra long staple cotton is the higher of 50 percent of the parity price for extra long staple cotton as of June 15, 1955, or 50 percent of the 1955 support price for extra long staple cotton, as provided in section 347 (c) of the act. (This section will be amended to include the exact rate of the penalty when such price data are available.)

§ 722.1267 *Lien for the penalty.* Until the penalty on the farm marketing excess is paid, all extra long staple cotton produced on the farm and marketed shall be subject to the penalty at the rate provided in § 722.1266 and a lien on the entire crop of extra long staple cotton produced on the farm in 1955 shall be in effect in favor of the United States.

§ 722.1268 *Interest on unremitted penalty.* The person liable for the payment or collection of the penalty shall be liable also for interest on the amount of penalty which is not remitted in accordance with § 722.1269 (b) or § 722.1270 (c), as the case may be, at the rate of 6 percent per annum from the final date for remitting the penalty until the date such penalty is remitted. The computation of interest on any penalty due shall be made beginning with the day following the final date for remitting the penalty.

§ 722.1269 *Payment of penalty by producers*—(a) *Producers liable for payment of penalty.* Each producer having an interest in the 1955 crop of extra long staple cotton on any farm for which a farm marketing excess has been determined shall be liable to pay the entire amount of the penalty on the farm marketing excess. The amount of the penalty which any producer shall pay shall nevertheless be reduced by the amount of the penalty which is paid by another producer or a buyer of extra long staple cotton produced on the farm.

(b) *Time when penalty becomes due and payable.* The farm marketing excess for a farm shall be regarded as available for marketing and the penalty thereon shall become due at the time any extra long staple cotton produced on the farm is harvested. The amount of the penalty on the farm marketing excess for any farm shall be remitted on the date it becomes due or not later than March 15, 1956 (June 15, 1956, in the case of the southern area of Puerto Rico). *Provided, however,* That the penalty on any bale or lot of extra long staple cotton marketed (1) from a farm for which the penalty on the farm marketing excess has not been paid or (2) without being properly identified by a marketing card, marketing certificate, or loan document as provided in §§ 722.1262, 722.1263, or 722.1264, shall be due on the date of such marketing and shall be remitted not later than seven calendar days next succeeding the end of the calendar week in which the cotton was marketed.

(c) *Apportionment of the penalty.* The county committee may, upon application of any producer made prior to the expiration of the time allowed for remitting the penalty on the farm marketing excess, determine his proportionate share of the penalty on the farm marketing excess if, pursuant to the application, the producer establishes that he is unable to arrange with other producers on the farm for the payment of the penalty on the entire farm marketing excess, that his share of the extra long staple cotton crop produced on the farm is marketed by him separately, and that he exercises no control over the marketing of the shares of the other producers in the extra long staple cotton crop. The producer's proportionate share of the penalty on the farm marketing excess shall be that proportion of the entire penalty on the farm marketing excess which his share in the extra long staple cotton produced in 1955 on the farm bears to the total amount of such cotton produced in 1955 on the farm. When the producer pays his proportionate share of the penalty, he shall not be liable for the remainder of the penalty on the farm marketing excess and he shall be entitled to receive a marketing certificate, issued in accordance with § 722.1258, to be used by him only in the marketing of his proportionate share of the extra long staple cotton crop produced in 1955 on the farm.

§ 722.1270 *Payment of penalty by buyers and transferees*—(a) *Buyers and transferees liable for payment of penalty.* Each person within the United States, including Puerto Rico, who buys or acquires from the producer any extra long staple cotton subject to the lien for the penalty shall be liable for and shall pay the penalty thereon. Extra long staple cotton shall be taken as subject to the lien for the penalty unless the producer presents to the buyer or transferee a marketing card (Form MQ–76–ELS Cotton (1955)), a marketing certificate (Form MQ–91—Cotton (ELS)), or a loan document, as provided in §§ 722.1262, 722.1263, and 722.1264.

(b) *Payment of penalty on account of lien for the penalty.* Each person within the United States, including Puerto Rico, who buys or acquires extra long staple cotton from the producer which is subject to the lien for the penalty shall pay the amount of the penalty on each pound thereof in satisfaction of the lien thereon.

(c) *Time when penalty becomes due.* The penalty to be paid by any buyer or transferee pursuant to paragraphs (a) and (b) of this section shall become due at the time the extra long staple cotton is marketed and shall be remitted not later than seven calendar days next succeeding the end of the calendar week in which such cotton was marketed. Extra long staple cotton shall be deemed to be sold when either title to or actual or constructive possession of such cotton is delivered by or on behalf of the producer or any part of the purchase price is paid. Extra long staple cotton shall be deemed to have been marketed by barter or exchange when it is delivered to the transferee of such cotton by

actual or constructive delivery or the transferor has received any part of the property, goods, or services for which such cotton is being bartered or exchanged. Extra long staple cotton shall be deemed to have been marketed by gift inter vivos when there is an actual or constructive delivery of such cotton to the transferee during the lifetime of the producer. Extra long staple cotton shall be deemed to have been marketed in processed form when the producer, or some person on his behalf, converts such cotton into an article of trade and thereby causes such cotton to lose its identity as seed cotton or extra long staple lint cotton. An article of trade within the meaning of this provision is any article made in whole or in part from extra long staple cotton for the purpose of marketing such article.

(d) *Manner of deducting penalty and issuance of receipts.* The buyer may deduct from the price paid for any extra long staple cotton an amount equivalent to the amount of the penalty to be paid by the buyer pursuant to paragraphs (a) and (b) of this section. Any buyer who deducts an amount equivalent to the penalty shall issue to the person from whom the extra long staple cotton was purchased a receipt for the amount so deducted which shall be on Form MQ–82—Cotton (ELS).

§ 722.1271 *Remittance of penalty to the treasurer of the county committee.* The treasurer of the county committee, for and on behalf of the Secretary, shall receive the penalty and any interest due thereon and issue a receipt therefor to the person remitting the penalty. The penalty and interest shall be remitted only in legal tender, or by check, draft, or money order drawn payable to the order of the Treasurer of the United States. All checks, drafts, or money orders tendered in payment of the penalty and interest shall be received by the treasurer of the county committee subject to collection and payment at par, and the receipt issued in connection therewith shall bear a notation to that effect and a description of the check, draft, or money order.

§ 722.1272 *Deposit of funds.* All funds received by the treasurer of the county committee in connection with penalties for extra long staple cotton shall be scheduled and transmitted by him on the day received, or not later than the morning of the next succeeding business day, to the State committee, which, in accordance with applicable instructions, shall cause such funds to be deposited to the credit of the Treasurer of the United States. In the event the funds so received are in the form of cash, the treasurer of the county committee shall deposit such cash in the county committee bank account and issue a check in the amount thereof payable to the Treasurer of the United States and transmit such check to the State committee. The treasurer of the county committee shall make and keep a record of each amount received by him, showing the name of the person who remitted the funds, the identification of the farm or farms for which the funds were remitted, and the names of the persons who marketed the extra long staple cotton in connection with which the funds were remitted.

§ 722.1273 *Refunds of money in excess of the penalty*—(a) *Determination of refunds.* The county committee and the treasurer of the county committee, upon their own motion or upon the request of any interested person, shall review the amount of money received in connection with the penalty for any farm to determine for each producer the amount thereof, if any, which is in excess of the penalty incurred. The excess amount shall be refunded. Any refund shall be made only to persons who bore the burden of the payment and who have not been reimbursed therefor. The excess sum shall be first applied, insofar as the sum will permit, so as to make refunds to eligible persons other than producers and the remainder, if any, shall be applied so as to make refunds to the eligible producers. The amount to be refunded to each producer shall be either (1) the amount agreed upon in writing by each and every extra long staple cotton producer on the farm or (2) in the event that such producers cannot agree to the division of such refund or if all of the producers on the farm are not available to apply for such refund, the amount determined by apportioning the excess among all of the producers on the farm on the basis of the amount of the penalty borne by each producer, as determined by the county committee. No refund shall be made to any buyer or transferee of any amount which he collected from the producer, deducted from the price or other consideration for the extra long staple cotton, or for which he was liable.

(b) *Certification of refunds.* A member of the county committee, or the treasurer of the county committee, shall notify the State committee of the amount which the county committee determines may be refunded to each person with respect to the farm, and the State committee shall cause to be certified to the appropriate Disbursing Officer of the Treasury Department for payment such amounts as are approved by it. No refund of money shall be certified under this section unless the money has been collected and transmitted to the State committee but has not been covered into the general fund of the Treasury of the United States.

§ 722.1274 *Refund of penalty erroneously, illegally, or wrongfully collected.* Whenever, pursuant to a claim filed with the Secretary within the time prescribed in section 372 of the act after payment to him of the penalty collected from any person pursuant to the act, the Secretary finds that the penalty was erroneously, illegally, or wrongfully collected, he shall certify to the Secretary of the Treasury for payment to the claimant, in accordance with regulations prescribed by the Secretary of the Treasury, such amount as the Secretary finds the claimant is entitled to receive as a refund of penalty. Any claim filed pursuant to this section shall be made in accordance with regulations prescribed by the Secretary.

§ 722.1275 *Report of violations and court proceedings to collect penalty.* It shall be the duty of the county office manager to report in writing to the State administrative officer each case of failure or refusal to pay the penalty or to remit the same as provided in §§ 722.1242 to 722.1289 to the Secretary when collected. It shall be the duty of the State administrative officer to report each such case in writing to the Office of the General Counsel of the United States Department of Agriculture, in accordance with instructions issued by the Deputy Administrator, with a view to the institution of proceedings by the United States Attorney for the appropriate district, under the direction of the Attorney General of the United States, to collect the penalties, as provided in section 376 of the act.

RECORDS AND REPORTS

§ 722.1276 *Records to be kept and reports to be made by ginners*—(a) *Necessity for records and reports.* Each ginner shall, in conformity with section 373 (a) of the act, keep the records and make the reports the Secretary hereby finds to be necessary to enable him to carry out, with respect to extra long staple cotton, the provisions of the act.

(b) *Nature and availability of records.* Each ginner shall keep, as part of or in addition to the records maintained by him in the conduct of his business, a record which shall show with respect to each bale of extra long staple cotton, and each lot of extra long staple cotton less than a bale, ginned by him the following information: (1) The date of ginning; (2) the name of the operator of the farm on which the extra long staple cotton was produced; (3) the name of the producer of the extra long staple cotton; (4) the county and State in which the farm on which the extra long staple cotton was produced is located; (5) the gin bale number or mark; (6) the serial number of the gin ticket or receipt prepared or issued by the ginner for the bale of extra long staple cotton and for the lot of such cotton less than a bale; (7) the gross weight of each bale of extra long staple cotton and the net weight of each lot of extra long staple lint cotton less than a bale; and (8) the kind of bagging and ties used on each bale. The records so made shall be kept available for examination and inspection by the Secretary, or by any authorized representative of the Secretary, until December 31, 1957, for the purpose of ascertaining the correctness of any report made or record kept pursuant to §§ 722.1242 to 722.1289, or of obtaining the information required to be furnished in any report pursuant to §§ 722.1242 to 722.1289 but not so furnished. Such records shall be kept for such longer period of time as may be requested in writing by the Director.

(c) *Requests for reports.* Each ginner, upon written request of the State committee or county committee, shall make a report showing the information provided for in this section, or any part thereof as specified in the request, with respect to extra long staple cotton ginned for the person or persons specified